AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2019

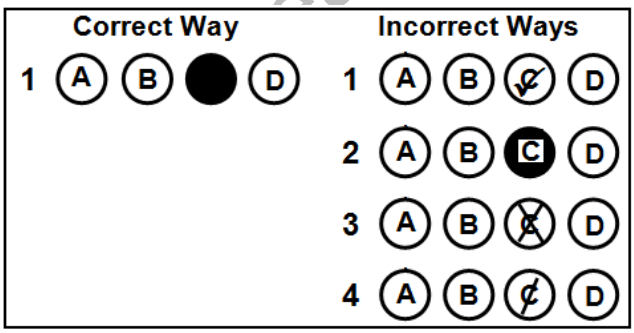
Business Studies Paper I

Time: 40 minutes Marks: 25

April/ May 2019 for Teaching and Learning only

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. With reference to franchise business, the CORRECT statement is that the

   A. franchisee pays for advertising expense.
   B. franchisor obtains all the goods sold from the franchisee.
   C. management of the outlet is the responsibility of franchisor.
   D. franchisor is paid for the licence purchased by the franchisee.

2. With reference to the types of organisation, Pakistan Railways will be classified under

   A. public cooperation.
   B. cooperative society.
   C. private cooperation.
   D. municipal enterprise.

3. Rehmat Foundation has recently bought a place that will be used to build another hospital.

   The BASIC objective of Rehmat Foundation in opening a hospital would be to

   A. serve the community.
   B. increase market share.
   C. expansion of the business.
   D. increase the value addition.

4. Asif and Arshad were separately running mobile phone accessories business. Due to the tough market competition and same nature of business, they integrated their businesses.

   The type of integration mentioned in the given situation would be termed as

   A. horizontal integration.
   B. conglomerate integration.
   C. upward vertical integration.
   D. downward vertical integration.

5. Pakistan is suffering from a deficit due to low demand for its export in foreign countries and increased demand for imported goods locally. Its current account deficit increased to US $ 22.3 billion in 2017. (Economic Survey of Pakistan 2017-18)

   The given statement shows

   A. inflation in Pakistan.
   B. economic boom in Pakistan.
   C. positive balance of trade of Pakistan.
   D. negative balance of payment in Pakistan.

April/ May 2019 for Teaching and Learning only

6. The following details are related to the production of different departments of Shaheen Cement.

Department	Number of Labours Employed	Output in Tones
A	60	600
B	45	472
C	30	330

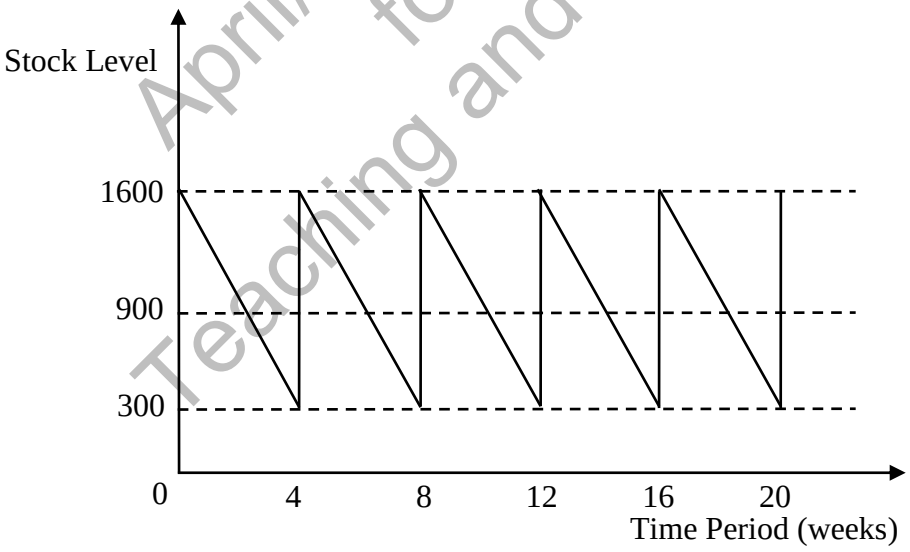
With reference to the productivity of labour, the CORRECT statement is that the productivity of

A. all the departments is same.
B. department B is more than all other departments.
C. department C is less than that of other departments.
D. department A is less than that of other departments.

7. A disadvantage of introducing latest automation technology in business is that

A. more energy and fuel is required to run the machines.
B. more workers are required for operating machines in production.
C. the machines may become obsolete due to rapid change in technology.
D. decision making is difficult and time consuming due to huge amount of data.

8. The inventory control graph of Hafsa Limited is given below.



With reference to the given graph, the buffer stock (safety stock) of Hafsa Limited would be

A. 300 units.
B. 600 units.
C. 700 units.
D. 900 units.

April/ May 2019 Teaching and Learning only for

9. Indus Motors Private Limited assembles automobiles parts on a continuous basis. Their method of production will be termed as

A. job production.
B. lean production.
C. flow production.
D. batch production.

10. A financial motivator that can be introduced by the human resource department of an organisation is

A. increasing fringe benefits.
B. providing better job titles.
C. empowering the employees.
D. introducing job rotation policy.

11. The two factor theory of motivation was proposed by

A. Henry Fayol.
B. Abraham Maslow.
C. Dougles McGregor.
D. Frederick Herzberg.

12. Which of the following CORRECTLY highlights the advantage of delegation of authority to Manager and Subordinates?

	Advantage of Delegation to	
	Manager	**Subordinate**
A	Managers believe they are boss so they will perform better than others.	Subordinates believe that they are trusted and perform better.
B	It reduces the efforts of the manager.	It develops bossy attitude in the subordinates.
C	It helps in the promotion of the manager.	It helps in improving the subordinate's reputation in the organisation.
D	It helps managers to distribute their work to others and perform more efficiently.	It empowers and motivates subordinates.

13. Kausar has been hired to develop a long term plan for the growth of a business organisation.

The decision that will be taken on the plan developed by Kausar will be categorised as

A. tactical decisions.
B. strategic decisions.
C. operational decisions.
D. administrative decisions.

April May 2019 Teaching and Learning only

14. Few employees of Maheen Traders have gathered at the gate of the factory to demand better wages. They are persuading other employees to become a part of their industrial action by not going to work.

The industrial action referred in the given situation is termed as

A. go slow.
B. picketing.
C. work to rule.
D. non-cooperation.

15. Ittehad Union is a trade union formed in Allien Limited. A clause in the hiring agreement of Allien Limited states that all the employees should be a part of Ittehad Union only.

The agreement made between Allien Limited and the new employee is termed as

A. industrial union.
B. collective bargaining.
C. closed shop agreement.
D. single union agreement.

16. The way in which orders and instructions are passed down within the organisation from top to bottom.

The given description BEST refers to

A. span of control.
B. chain of command.
C. organisational chart.
D. division of responsibility.

17. All of the following are advantages of having an organisational chart in a business EXCEPT that it

A. depicts the conflicts that exist among employees.
B. shows the position and status of an employee in the organisation.
C. provides the channel of flow of information within the organisation.
D. gives a sense of belonging to employees as they represent one department.

April May 2019 for Teaching and Learning only

18. Rehan Limited has provided the following details about its cash flows for the month of March 2018.

Description	Amount (Rs)
Cash balance on March 01, 2018	25,000
Cash inflows during March	80,000
Cash outflows during March	90,000
Cash balance on March 31, 2018	15,000

Rehan Limited is expecting that in April 2018, its cash inflows will increase by 10% and its cash outflows will decrease by Rs 7,000.

The expected amount of net cash flow for Rehan Limited at the end of April 2018 would be

A. Rs 5,000
B. Rs 10,000
C. Rs 20,000
D. Rs 30,000

19. Naeem Private Limited, a large manufacturer of furniture, needs immediate, short-term cash funding to overcome its cash flow problem.

The MOST appropriate source of finance for Naeem Private Limited would be

A. issue of shares.
B. bank overdraft.
C. investment from partners.
D. trade payables (accounts payable).

20. Aisha in order to start her own business, borrowed Rs 350,000 from her friend and took a bank loan of Rs 400,000.

Based on this information, the type of business started by Aisha would be classified as a

A. partnership.
B. private company.
C. sole proprietorship.
D. non-profit organisation.

April/ May 2019 for Teaching and Learning only

21. Feroz Limited has provided the following details related to cash flow forecast for the month of January and February.

Description	January (Rs)	February (Rs)
Opening balance	0	?
Cash inflow	800	770
Cash outflow	730	?
Closing balance	70	140

The amount of cash outflow of Feroz Limited for the month of February will be

A. Rs 40
B. Rs 180
C. Rs 700
D. Rs 660

22. An Assistant Manager, Marketing has collected data from the general public related to market shares of different shoe companies through a questionnaire.

The type of research conducted by the Assistant Manager is known as

A. qualitative and primary.
B. quantitative and primary.
C. qualitative and secondary.
D. quantitative and secondary.

23. The phase of a product life cycle in which sales increase quickly is

A. growth.
B. maturity.
C. saturation.
D. introduction.

24. The government of a country P, in order to promote business activities, has decided to waive off tax on foreigners.

The given step of the government is termed as

A. tax havens.
B. tax burden.
C. advance tax.
D. deferred tax.

25. Which of the following is NOT characteristic of a Multinational Companies (MNCs)?

A. The parent company works like a holding company.
B. The MNCs operate in a single country with multiple products on large scale.
C. The MNCs are quality and cost conscious and managed by professionals and experts.
D. The MNCs do not take much interest in the social welfare activities of the host country.

April/ May 2019 for Teaching and Learning only

END OF PAPER

Please use this page for rough work

April/ May 2019
for
Teaching and Learning only